

2000-2009

The DECADE that changed the world

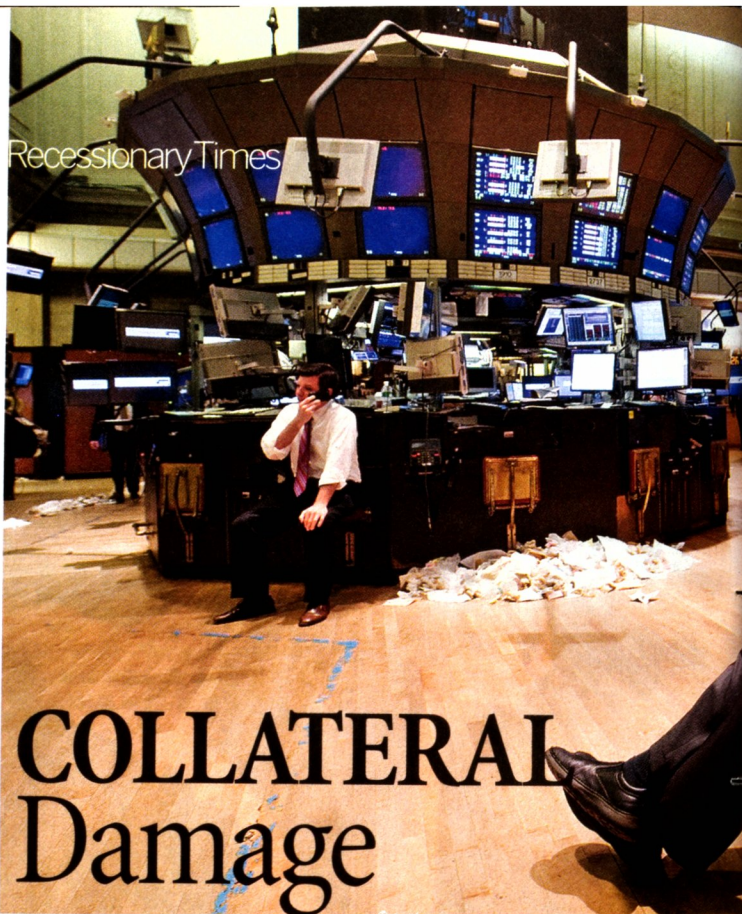
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The first decade of the 21st century made short work of belying the widely held assumptions for the millennium celebrations a decade ago. First, the 9/11 attacks shook and ultimately shattered the so-called "unipolar" moment as the reaction of the US failed to carry the day either on the battlefield or in the court of world opinion.

The second erroneous assumption—that the era of cyclical swings in economics had somehow evolved into a less volatile "Great Moderation", a time ruled by sophisticated mathematical models and an arrogant certainty about risk management—would shatter with no less drama in late 2008. Its epicentre, as on 9/11, was America's financial centre just blocks from my office here at Roubini Global Economics (RGE) in New York. The bursting of the American real estate bubble, and the consequent unravelling of faulty risk models as well as ill-considered investments which did so much to inflate the bubble and the rest of the global economy in the preceding seven years, sparked a synchronised recession more severe than any since the Great Depression. Almost every country was affected by these two events, and both promise to exercise a continuing influence in the years to come on the planet's economics and geopolitics.

● **From Boom to Bust** Many books have and will continue to be written on these twin crises of the new century, but I will confine myself primarily to the implications of the disastrous collapse of the economic boom that most date to the collapse of the American investment bank Lehman Bros in September 2008. Its seeds though were sown during the first phase of the historic boom in global growth that started in 2004.

This first phase was driven by strong global growth of 5 per cent during 2004-07 with global trade growing at around 8 per cent during 2003-07 and capital witnessing strong flows between emerging markets and developed countries. Consumers and investors benefited from the credit and asset booms, poverty declined and globalisation advanced. The BRIC (Brazil, Russia, India and China) and other emerging markets attracted foreign investors. The role of developing countries, per se, on



The world will soon see a transition from the boom-and-bust cycle to a 'new normal' lower growth rate

A BLUFFER'S GUIDE

- According to the IMF, large US and European banks lost more than \$1 trillion on toxic assets and bad loans from January 2007 to September 2009. They are expected to top \$2.8 trillion in 2007-10
- The US has lost over 7 million payroll jobs since December 2007.
- India's gross domestic product grew by 7.9 per cent during July-September, raising the annual growth projections to 7 per cent.

global issues like the climate change negotiations, and in institutions such as the United Nations, the G-20 and the World Trade Organisation (WTO), increased. Governments in developed countries and some in emerging markets put aside their doubts about liberalised markets, letting the private sector play a greater role and markets to regulate themselves.

Benign global conditions especially benefited emerging economies like India, helping them attain high economic growth, attract foreign investment, and drive asset and investment booms. Cheap labour and other operating costs helped India benefit from cost-cutting and outsourcing by the US and European companies, and the boom neutralised the political backlash in outsourcing countries like the US. The outsourcing boom had spillover effects on India's domestic demand. It was, however, led by unsustainable global imbalances, and excessive leverage and lax regulation in the developed